Weekly Note: 8.27.26

Monkey Business



MITCH CLODFELTER
AUG 27, 2026

To be the bridge between noise and reality for the benefit of our clients

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I'm tossing around the idea of the above as a mission statement. It seems relevant to what I'm trying to accomplish. I'm always seeking reality and what is truly driving price. Moreso, I want to know who is winning and losing and how they are doing it. Until I figure that out, I suppose I'll keep managing risk as best I can.

There's been a lot of noise in the last week attached to the markets. They have drawn the eyes of many a farmer, speculator and analyst. Technically, they're overbought. But that doesn't mean anything, they'll stop when they want to stop.

> **"It's a little like wrestling a gorilla. You don't quit when you're tired you quit when the gorilla is tired." - Robert Strauss**

These markets are the gorilla, and there's no telling when they'll get tired. What does 530 Dec corn mean to you? How about 1268 November beans?

Corn

I've been asking what price means to you since the inception of this Substack. I'll continue to do so because I believe strongly that predictions are hardly worth the paper they are printed on. The only thing that anyone can do is take a sober look at price, charts and driving factors at a given point in time.

CZ ~ Weekly



We are trading above any daily, weekly or monthly resistance in corn. Where we go from here is anyone's guess. If you have the luxury of being long cash corn, I am still of the opinion that length can be scaled out at these levels and replaced at a later date.

What does your forecasted yield look like compared to insurable bushels? I haven't heard many say that they think crop insurance is going to pay this year. That is what scares me about yield. The problem seems to be 'in everyone else's corn crop but luckily I think we'll be alright, not as good as last year though.'

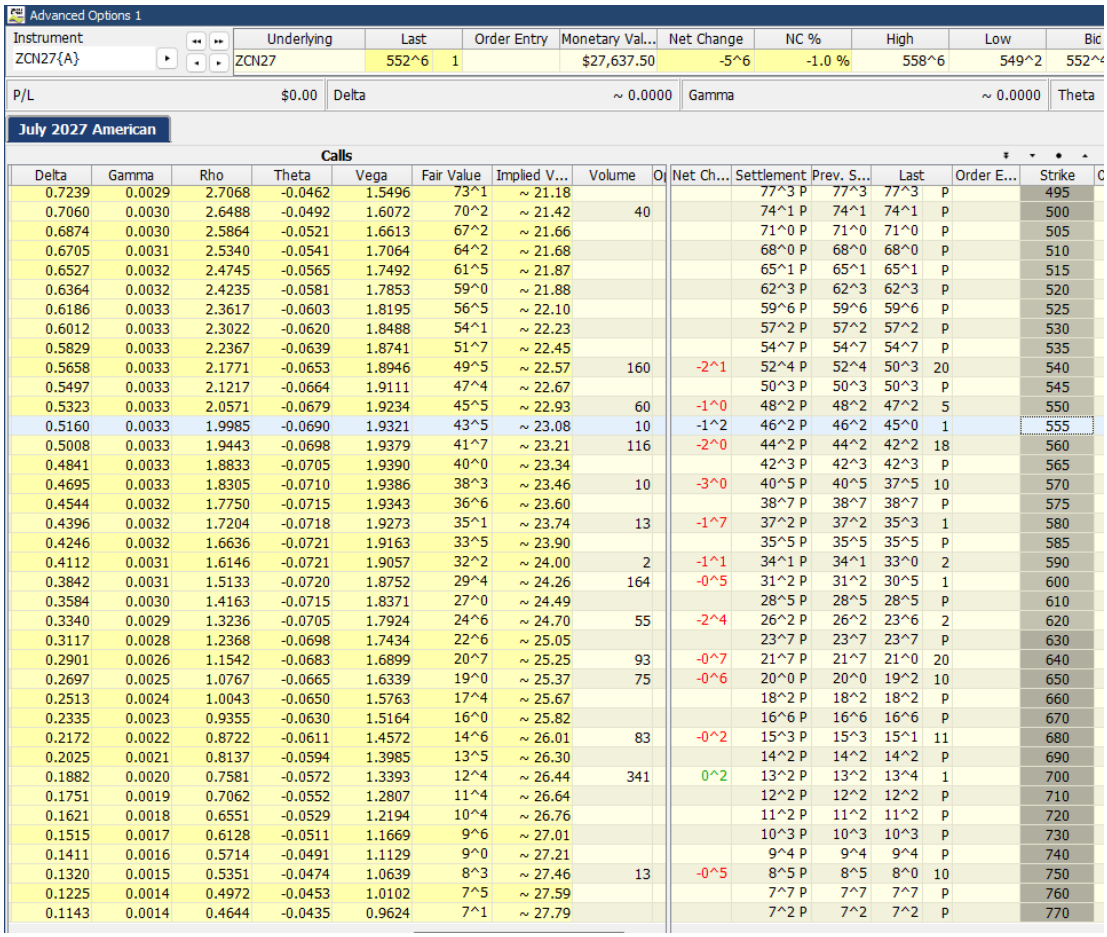
I do still want to be a buyer of corn, and I recognize that I have been saying 'not yet' for weeks while price has gone up. I like trades that I have good conviction in, not optimistic gambles. It never reached the point where I had good conviction in a long. It will at some point again I

am certain of it. Until then I am content to wait. The market will always be there.

If you are a seller, great. Sell some +$5 cash corn, pay the gas bill, and move on with your life.

I heard yesterday that an unnamed large brokerage firm has been advocating selling ATM Jul 27 Calls to net +$600 on fall 26' corn sales. I will not explain my dissonance with that strategy here. DM me for that soapbox

Message Mitch Clodfelter



Advanced Options 1

Instrument	Underlying	Last	Order Entry	Monetary Val...	Net Change	NC %	High	Low	Bid
ZCN27{A}	ZCN27	552^6	1	$27,637.50	-5^6	-1.0 %	558^6	549^2	552^4

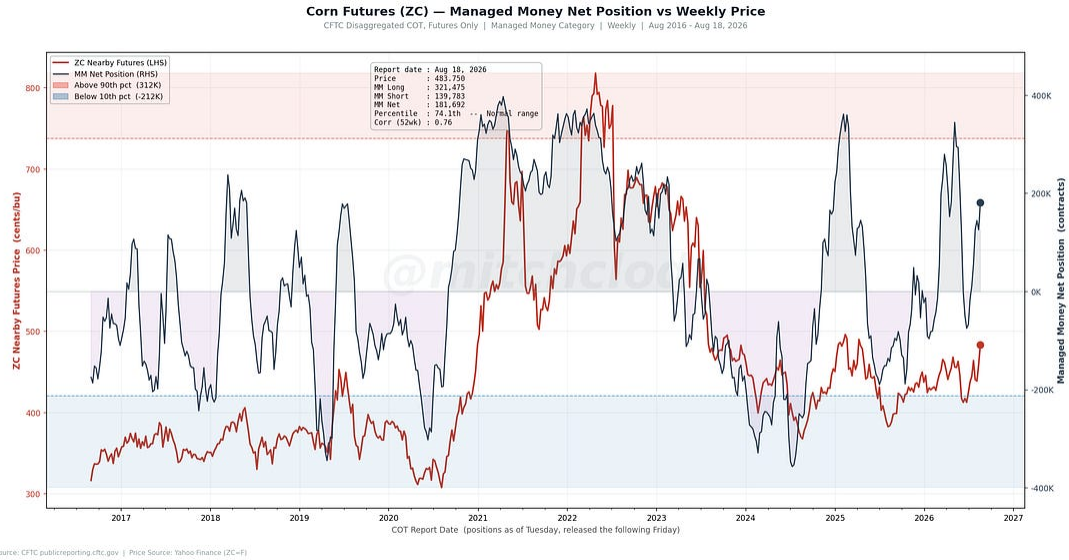
P/L	$0.00	Delta	~ 0.0000	Gamma	~ 0.0000	Theta

July 2027 American

Calls

Delta	Gamma	Rho	Theta	Vega	Fair Value	Implied V...	Volume	Net Ch...	Settlement	Prev. S...	Last		Order E...	Strike
0.7239	0.0029	2.7068	-0.0462	1.5496	73^1	~ 21.18			77^3 P	77^3	77^3	P		495
0.7060	0.0030	2.6488	-0.0492	1.6072	70^2	~ 21.42	40		74^1 P	74^1	74^1	P		500
0.6874	0.0030	2.5864	-0.0521	1.6613	67^2	~ 21.66			71^0 P	71^0	71^0	P		505
0.6705	0.0031	2.5340	-0.0541	1.7064	64^2	~ 21.68			68^0 P	68^0	68^0	P		510
0.6527	0.0032	2.4745	-0.0565	1.7492	61^5	~ 21.87			65^1 P	65^1	65^1	P		515
0.6364	0.0032	2.4235	-0.0581	1.7853	59^0	~ 21.88			62^3 P	62^3	62^3	P		520
0.6186	0.0033	2.3617	-0.0603	1.8195	56^5	~ 22.10			59^6 P	59^6	59^6	P		525
0.6012	0.0033	2.3022	-0.0620	1.8488	54^1	~ 22.23			57^2 P	57^2	57^2	P		530
0.5829	0.0033	2.2367	-0.0639	1.8741	51^7	~ 22.45			54^7 P	54^7	54^7	P		535
0.5658	0.0033	2.1771	-0.0653	1.8946	49^5	~ 22.57	160	-2^1	52^4 P	52^4	50^3	20		540
0.5497	0.0033	2.1217	-0.0664	1.9111	47^4	~ 22.67			50^3 P	50^3	50^3	P		545
0.5323	0.0033	2.0571	-0.0679	1.9234	45^5	~ 22.93	60	-1^0	48^2 P	48^2	47^2	5		550
0.5160	0.0033	1.9985	-0.0690	1.9321	43^5	~ 23.08	10	-1^2	46^2 P	46^2	45^0	1		555
0.5008	0.0033	1.9443	-0.0698	1.9379	41^7	~ 23.21	116	-2^0	44^2 P	44^2	42^2	18		560
0.4841	0.0033	1.8833	-0.0705	1.9390	40^0	~ 23.34			42^3 P	42^3	42^3	P		565
0.4695	0.0033	1.8305	-0.0710	1.9386	38^3	~ 23.46	10	-3^0	40^5 P	40^5	37^5	10		570
0.4544	0.0032	1.7750	-0.0715	1.9343	36^6	~ 23.60			38^7 P	38^7	38^7	P		575
0.4396	0.0032	1.7204	-0.0718	1.9273	35^1	~ 23.74	13	-1^7	37^2 P	37^2	35^3	1		580
0.4246	0.0032	1.6636	-0.0721	1.9163	33^5	~ 23.90			35^5 P	35^5	35^5	P		585
0.4112	0.0031	1.6146	-0.0721	1.9057	32^2	~ 24.00	2	-1^1	34^1 P	34^1	33^0	2		590
0.3842	0.0031	1.5133	-0.0720	1.8752	29^4	~ 24.26	164	-0^5	31^2 P	31^2	30^5	1		600
0.3584	0.0030	1.4163	-0.0715	1.8371	27^0	~ 24.49			28^5 P	28^5	28^5	P		610
0.3340	0.0029	1.3236	-0.0705	1.7924	24^6	~ 24.70	55	-2^4	26^2 P	26^2	23^6	2		620
0.3117	0.0028	1.2368	-0.0698	1.7434	22^6	~ 25.05			23^7 P	23^7	23^7	P		630
0.2901	0.0026	1.1542	-0.0683	1.6899	20^7	~ 25.25	93	-0^7	21^7 P	21^7	21^0	20		640
0.2697	0.0025	1.0767	-0.0665	1.6339	19^0	~ 25.37	75	-0^6	20^0 P	20^0	19^2	10		650
0.2513	0.0024	1.0043	-0.0650	1.5763	17^4	~ 25.67			18^2 P	18^2	18^2	P		660
0.2335	0.0023	0.9355	-0.0630	1.5164	16^0	~ 25.82			16^6 P	16^6	16^6	P		670
0.2172	0.0022	0.8722	-0.0611	1.4572	14^6	~ 26.01	83	-0^2	15^3 P	15^3	15^1	11		680
0.2025	0.0021	0.8137	-0.0594	1.3985	13^5	~ 26.30			14^2 P	14^2	14^2	P		690
0.1882	0.0020	0.7581	-0.0572	1.3393	12^4	~ 26.44	341	0^2	13^2 P	13^2	13^4	1		700
0.1751	0.0019	0.7062	-0.0552	1.2807	11^4	~ 26.64			12^2 P	12^2	12^2	P		710
0.1621	0.0018	0.6551	-0.0529	1.2194	10^4	~ 26.76			11^2 P	11^2	11^2	P		720
0.1515	0.0017	0.6128	-0.0511	1.1669	9^6	~ 27.01			10^3 P	10^3	10^3	P		730
0.1411	0.0016	0.5714	-0.0491	1.1129	9^0	~ 27.21			9^4 P	9^4	9^4	P		740
0.1320	0.0015	0.5351	-0.0474	1.0639	8^3	~ 27.46	13	-0^5	8^5 P	8^5	8^0	10		750
0.1225	0.0014	0.4972	-0.0453	1.0102	7^5	~ 27.59			7^7 P	7^7	7^7	P		760
0.1143	0.0014	0.4644	-0.0435	0.9624	7^1	~ 27.79			7^2 P	7^2	7^2	P		770

The fundamental factors driving the corn market at this time are in my opinion a bit overblown until a legitimate loss of yield in the I-States is realized. I recognize there are those that feel passionately different, and I will be intently watching while spending my money elsewhere.



Soybeans

Soybean price and demand have been an enigma to me for most of this year. The monthly ranges we have traded are significant, as is the price we have achieved. Unless one has a large amount of storage available and is dead certain that El Nino in South America will further tighten the world soybean balance sheet on the back on strong US domestic demand and no possible decreases in biofuel blending mandates… I would ask what level you would wish to see for fall ship soybeans ahead of corn. Given a 15c XF spread, I may still ask why those beans are not sold for Dec/Jan?



Anything can happen at the biofuel meeting linked below. Is the rally in soybeans this week legitimately demand driven or is it positioning?

'History Is Unambiguous': Ag Groups Pressure Trump to Stand Strong Against Sweeping RFS Waivers

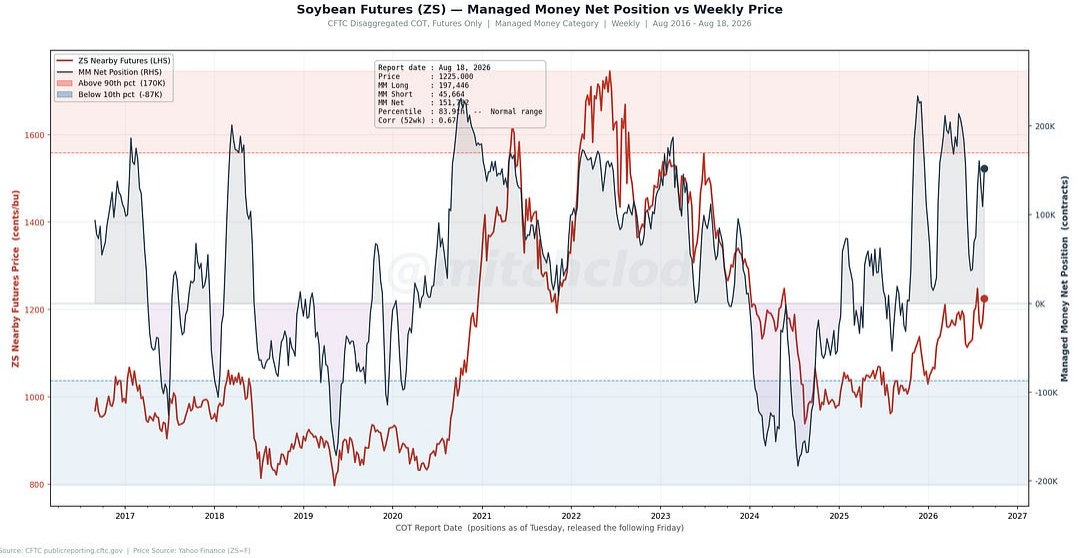
I'll say again that I feel there are too many unknowns and prices are too significant for the cash long to do nothing but hope here.

It does not matter what price you add to sales at, but it's a lot easier to get to high prices when you sell high prices. How right do you want to have to be? What's the top of the carry in your area? There are crush plants bidding strong for old crop soybeans. +$1.00 in basis for nearby ship. Congratulations if you carried those this long, I hope it was worth it.

ZS ~ Monthly



Pay attention to where funds are during these moves. It tells a big story on move magnitude.



The above comments are better geared to a producer that is undersold, or not sure what to do. If you have more sold than you'd like, those would be different talking points and strategies entirely. Please reach out if you have questions. I would love to chat.

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